

KnowServe Corp. — Finance Department

Quarterly Budget Report — Q1 2025

Overview

The first quarter of 2025 marked a stable financial performance for KnowServe Corp., driven by strong revenue growth in the Software Services division and cost optimization across infrastructure and HR. Total revenue reached \$12.8 million, representing a 7.5% increase from Q4 2024. Operating expenses stood at \$9.4 million, resulting in an operating margin of 26.5%. **Key Figures**

- Total Revenue: \$12,800,000
 - Total Expenses: \$9,400,000
 - Net Profit: \$3,400,000
 - Gross Margin: 41.2%
 - Variance vs. Forecast: +3.2%
 - R&D; Investment: \$1,250,000 (9.7% of total budget)
 - Marketing Expenditure: \$820,000 (6.4% of total budget)
- Department Breakdown**

Engineering maintained stable spending at \$3.6M, with a 4% reduction in server costs after migrating non-critical workloads to shared compute clusters. HR expenditures totaled \$1.2M, primarily due to onboarding 8 new employees. Finance operations remained efficient with a total cost of \$400K, mostly related to compliance audits and ERP software upgrades. Marketing saw an 18% overspend compared to forecast, driven by new brand awareness campaigns in EMEA and North America. **Cash Flow & Liquidity**

The company's cash flow from operations was positive at \$2.9M. Current assets increased by 5.1%, while liabilities remained stable, maintaining a current ratio of 1.9. No external funding was drawn during the quarter, and all supplier payments were made within 30 days of invoice receipt, in accordance with Finance Policy F-112. **Budget Adjustments &**

Risk Management

Forecasts for Q2 have been revised upward by 4% based on early contract renewals and a steady sales pipeline. A risk reserve of \$450K remains allocated to cover potential fluctuations in data hosting costs or delayed client payments. The Finance Department recommends maintaining a liquidity buffer of no less than 12% of quarterly expenditures to ensure operational resilience. **Recommendations**

1. Reinvest 5% of Q1 profits into employee training and cybersecurity upgrades.
2. Review marketing spend efficiency by mid-Q2 and adjust campaign allocations.
3. Prepare updated tax compliance documentation by May 15th in accordance with corporate reporting standards.
4. Implement automated variance tracking for all cost centers by the end of Q2. This report provides a consolidated snapshot of KnowServe Corp.'s financial health for Q1 2025 and will serve as a benchmark for evaluating budget adherence in upcoming quarters.